

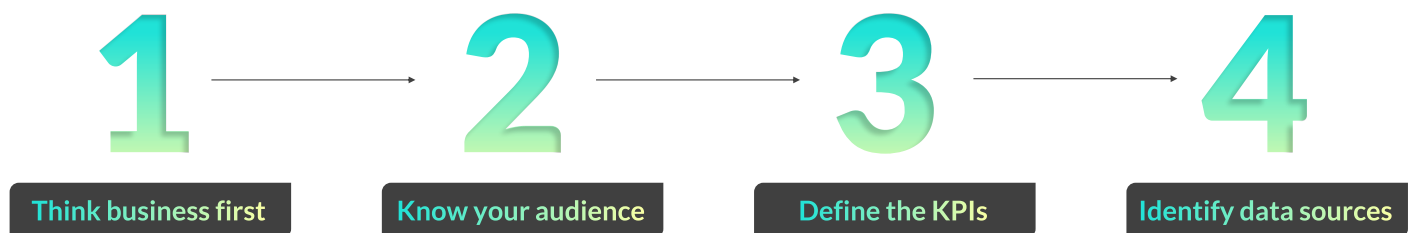
MEASUREMENT PLANNING

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MEASUREMENT PLANNING

IF YOU CAN'T MEASURE IT, YOU CAN'T OPTIMIZE IT

Measurement planning is about defining *exactly* what a successful outcome looks like for the business, and building a framework to identify, track and optimize key metrics



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CASE STUDY: MEASUREMENT PLANNING



THE SITUATION

You've just landed a job as the first Business Intelligence Analyst working in the call center for **Maven Muscles**, a nationwide gym that helps people get in shape. The call center handles new signups and customer service.



THE ASSIGNMENT

Your first assignment is to **build a detailed measurement plan** for the VP who runs the call center. She reports to the COO and indirectly to the CEO, and oversees 5 Managers who each lead a team of call center reps.



THE OBJECTIVES

1. Consider the goals of the business and needs of your stakeholders
2. Identify and prioritize Key Performance Indicators and supporting metrics
3. Make your plan to gather the data and address any gaps

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MEASUREMENT ROADMAP

1

Think business first

2

Know your audience

3

Define the KPIs

4

Identify data sources

One of the most common pitfalls for Analysts is jumping into the data too quickly; before you start thinking like an analyst, think like a **business owner** first!

Key questions to ask:

- What are the **key business goals** and objectives?
- Where does this analysis **fit into the overall business**?
- What are the **most important questions** that stakeholders need answers to?
- What **types of actions** do you want them to take after seeing your analysis?



PRO TIP: Remember that you don't get paid to analyze data; you get paid to **drive outcomes**!

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STEP 1: THINK BUSINESS FIRST

- 1 What are the high-level goals of the Maven Muscles business?
- 2 How does the call center support those business goals?
- 3 What are the most important goals for the call center?
- 4 What questions should you try to answer for call center leadership?
- 5 What actions can you imagine leadership taking based on your data?

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STEP 1: THINK BUSINESS FIRST

- 1 What are the high-level goals of the Maven Muscles business?
 - *Revenue, profit, high customer retention, customer satisfaction*
- 2 How does the call center support those business goals?
 - *Help customers sign up, reduce customer churn, identify and resolve issues quickly*
- 3 What are the most important goals for the call center?
 - *Sign up new customers, keep existing customers subscribed and happy*
- 4 What questions should you try to answer for call center leadership?
 - *Signups going up/down? Answering calls quickly? Are we staffed right? Are customers satisfied or churning?*
- 5 What actions can you imagine leadership taking based on your data?
 - *Changing schedules to match call demand. Incentivizing employees based on performance. Identifying problems.*

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Identify data sources

After thinking about the business impact, focus on the **key stakeholders** next; who are they, what do they need, and how will your analysis support them?

Key questions to ask:

- Who is the **primary audience** you are designing the measurement plan for?
- What are their **goals and incentives**? What do they care most about?
- Are there **multiple stakeholders** who will be impacted by your analysis?
- What **type of information** would inspire them to take action?



PRO TIP: It's OK to ask! Do some thinking on your own, then run your ideas by stakeholders to make sure you're on the right track

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STEP 2: KNOW YOUR AUDIENCE

- 1 What is your primary stakeholder most interested in? What are her goals?
- 2 What information should you provide to help her do her job well?
- 3 What are the COO and CEO most interested in?
- 4 What are the call center Managers most interested in?
- 5 What information do Managers need to make their teams more effective?

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STEP 2: KNOW YOUR AUDIENCE

- 1** What is your primary stakeholder most interested in? What are her goals?
 - *Signups, Close Rates, Customer Retention, Customer Satisfaction, Call Center Efficiency, etc.*
- 2** What information should you provide to help her do her job well?
 - *Help her monitor the metrics above (trends), highlight areas where she can make impactful changes*
- 3** What are the COO and CEO most interested in?
 - *Revenue, Profit, High Customer Retention, Customer Satisfaction*
- 4** What are the call center Managers most interested in?
 - *Hitting their signup and customer satisfaction goals, improving their team*
- 5** What information do Managers need to make their teams more effective?
 - *Help them see individual-level performance and highlight any opportunities for improvement*

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Once you understand the business impact and stakeholder needs, you're ready to start identifying **Key Performance Indicators** (KPIs) and supporting metrics

Key questions to ask:

- Which **business goals** have you already identified?
- For each goal, which metrics can be used to **accurately measure it**?
- Which of those are **most important** for your stakeholders?
- Thinking one level deeper, what other **supporting metrics** might help you optimize or make decisions to improve your KPIs?



PRO TIP: Feeling analysis paralysis? Brainstorm a list of metrics, then prioritize and focus on the top few items

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STEP 3: DEFINE THE KPIS

Primary Business Goal:	KPI Definition(s):	Component Metrics:
Signups		
Close Rate		
Customer Retention		
Customer Satisfaction		
Call Center Efficiency		

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STEP 3: DEFINE THE KPIS

Primary Business Goal:	KPI Definition(s):	Component Metrics:
Signups	Count of New Customer Signups	New Customer Count (or list)
Close Rate	% of Calls Resulting in a Sale	Count of Calls, Count of Sales
Customer Retention	- Avg. Months Enrolled per Signup % of Customers who Churn	- Signup List, Months Retained - Customer List, Count of Churners
Customer Satisfaction	% of Customers Rating 5 Stars % Callers Reporting 1st Call Resolution	- Survey Responses / Ratings - Survey Responses
Call Center Efficiency	% of Time Utilized - Average Wait Time (Seconds)	- Available Rep Time, Time on Calls - Time of Calls, Time of Answers

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After identifying your KPIs and supporting metrics, it's time to think about **what data you need, where to source it, and how to prepare it for analysis**

Key questions to ask:

- Which **sources** provide the data you need to track each metric?
- Who **owns or manages** each data source?
- How **frequently** is each data source refreshed?
- Can you **automate or streamline** the data collection process?



PRO TIP: As part of your measurement plan, create a shared document to clearly define all **data requirements** (metrics, sources, owners, frequency, caveats, etc.)

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STEP 4: IDENTIFY DATA SOURCES

Metric:

Potential Data Sources:

New Customer Count (or list)

Count of Calls, Count of Sales

Signup List, Months Retained

Customer List, Count of Churners

Survey Responses / Ratings

Survey Responses

Available Rep Time, Time on Calls

Time of Calls, Time of Answers

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STEP 4: IDENTIFY DATA SOURCES

Metric:	Potential Data Sources:	Owner:	Frequency:
New Customer Count (or list)	Billing Platform, CRM	IT	Hourly
Count of Calls, Count of Sales	Call Center Software, Customer List	Call Center	Hourly
Signup List, Months Retained	Billing Platform, CRM	IT	Monthly
Customer List, Count of Churners	Billing Platform, CRM	IT	Monthly
Survey Responses / Ratings	Survey Tools, External Reviews	Research	Weekly
Survey Responses	Survey Tools	Research	Weekly
Available Rep Time, Time on Calls	Call Center Tools, HR Software	Call Center	Daily
Time of Calls, Time of Answers	Call Center Tools	Call Center	Daily

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KEY TAKEAWAYS



Before you think like an analyst, think like a **business owner**

- Focus on the specific business outcomes you want to impact, and the role your analysis will play



Understand **who the stakeholders are**, and what motivates them

- Think about how your analysis will impact key decision makers, and what will inspire them to act



Define **clear, measurable KPIs** tied directly to key outcomes

- Take time to identify the most important metrics to help you track and optimize performance



Document your **data requirements** to stay organized

- Create a shared document to outline your KPIs, supporting metrics, data sources, and requirements

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